

Zambia
2023 Article IV Consultation and SIPs

JULY 2023

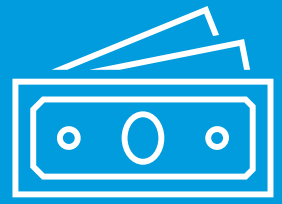
Preya Sharma
IMF Resident Representative in Zambia

Overview: Zambia's reform path from economic stabilization to inclusive growth

Economic context, outlook and risks



Boosting sustainable growth



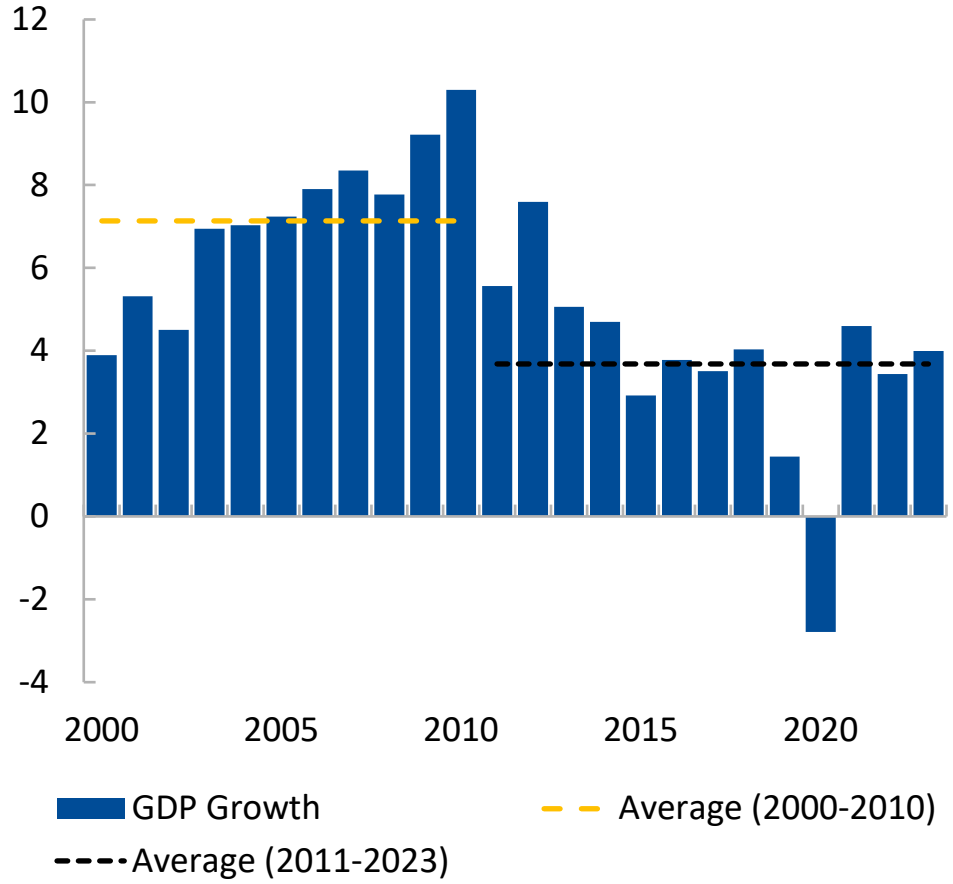
Macro-financial linkages and financial stability



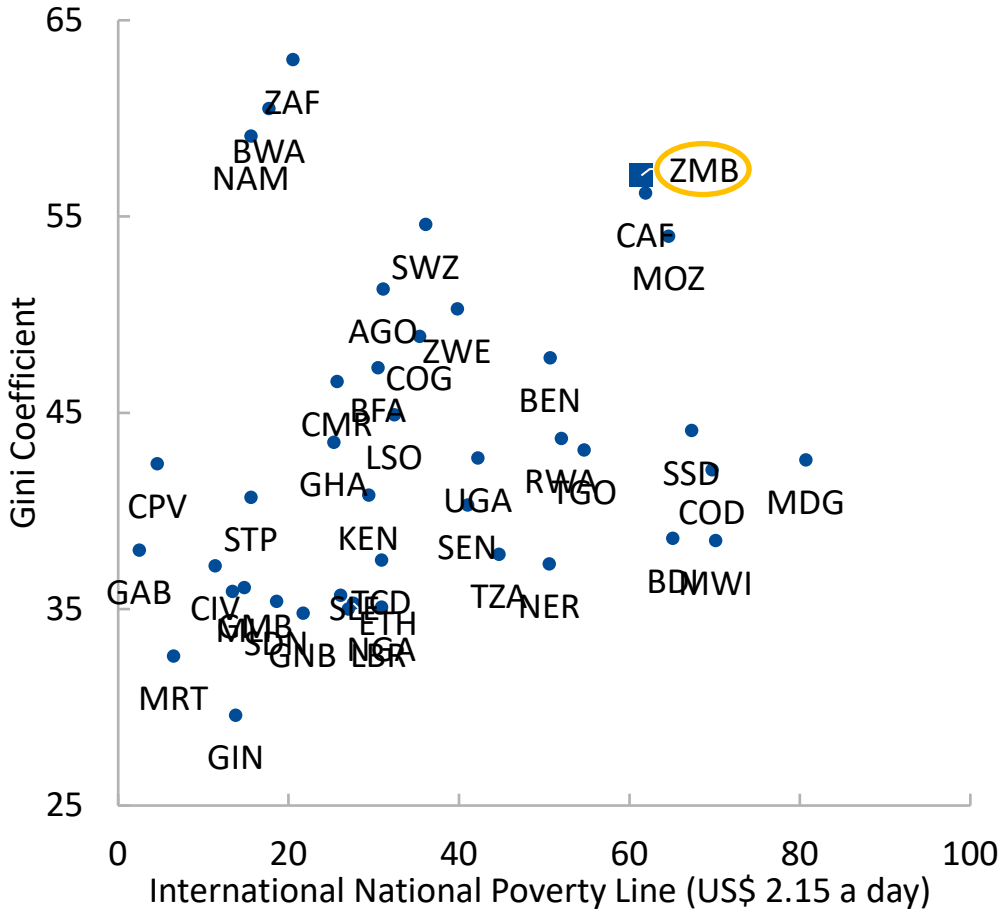
Boosting productivity and climate resilience in agriculture

The economy has stabilized but significant challenges remain

Real GDP Growth, 2000–23
(Percent)



Poverty and Inequality in Sub-Saharan Africa
(Latest available data)

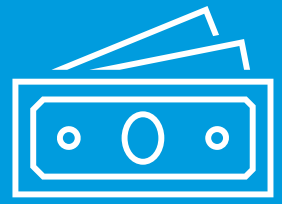


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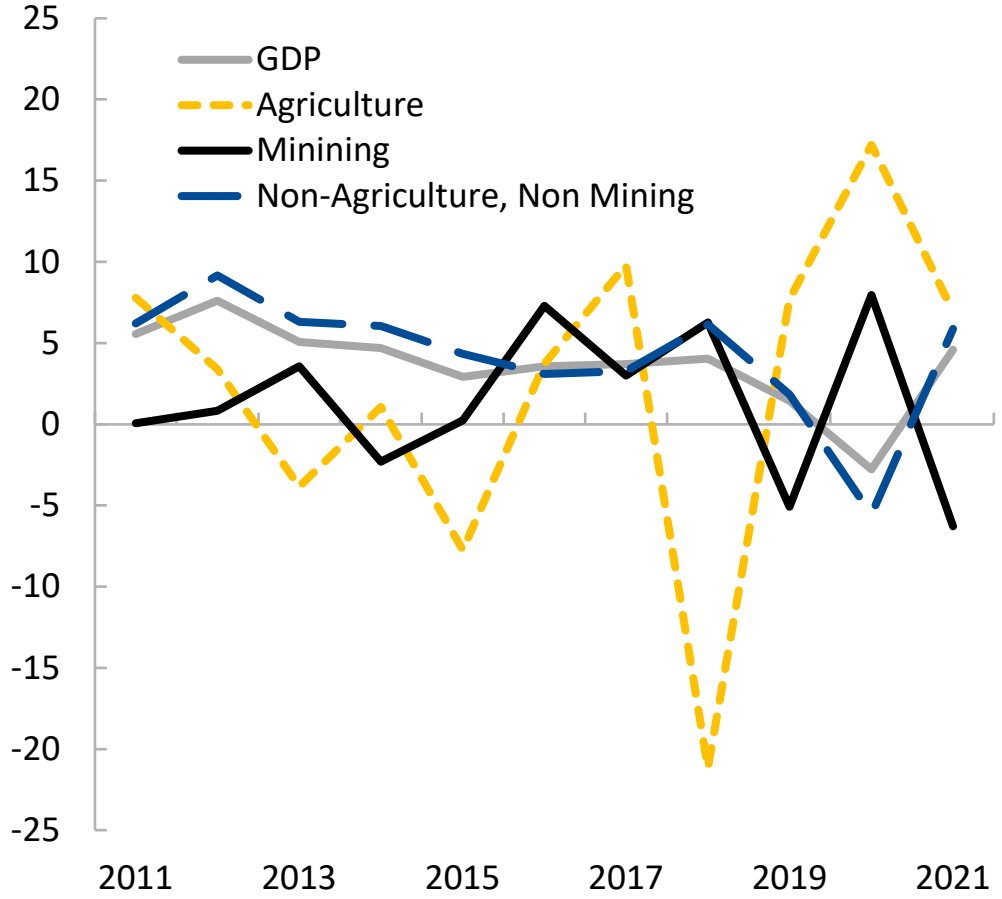
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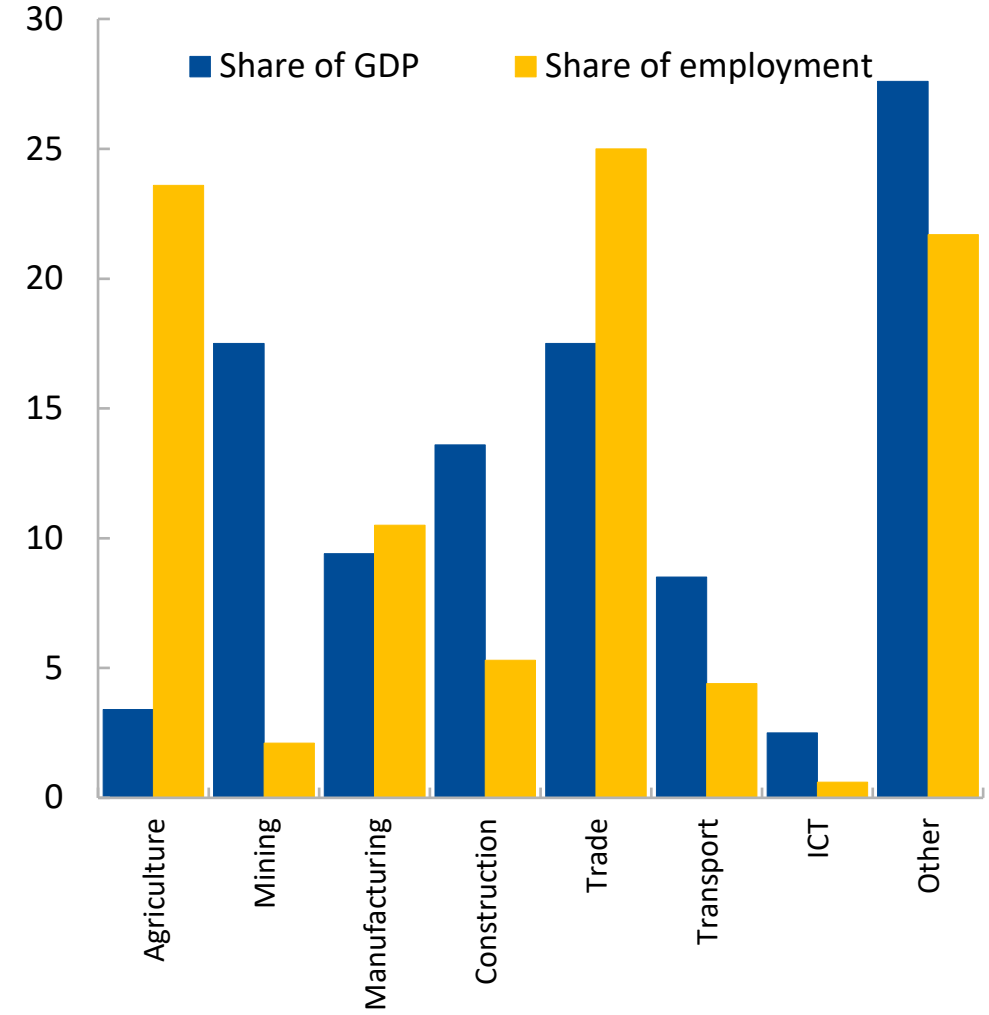
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Main drivers of growth in the past decade

GDP Growth Rates
(In percent)



Sectoral Contribution to Growth and Employment in 2021
(Percent)



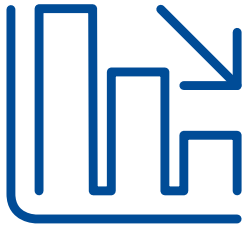
The role of MFEZs in investment and employment



To address infrastructure gaps and attract new investment, Zambia adopted a government program to establish special economic zones since the mid-2000s.



Zambia has granted a multitude of fiscal incentives to companies within special economic zones as well as to other companies in priority sectors.



The MFEZs have not met expectations when it comes to either realized investment or employment.

A new approach to boosting growth



The new government which came into power in 2021 adopted a new approach to growth, focusing first on restoring macroeconomic stability as the precondition to sustainable growth.



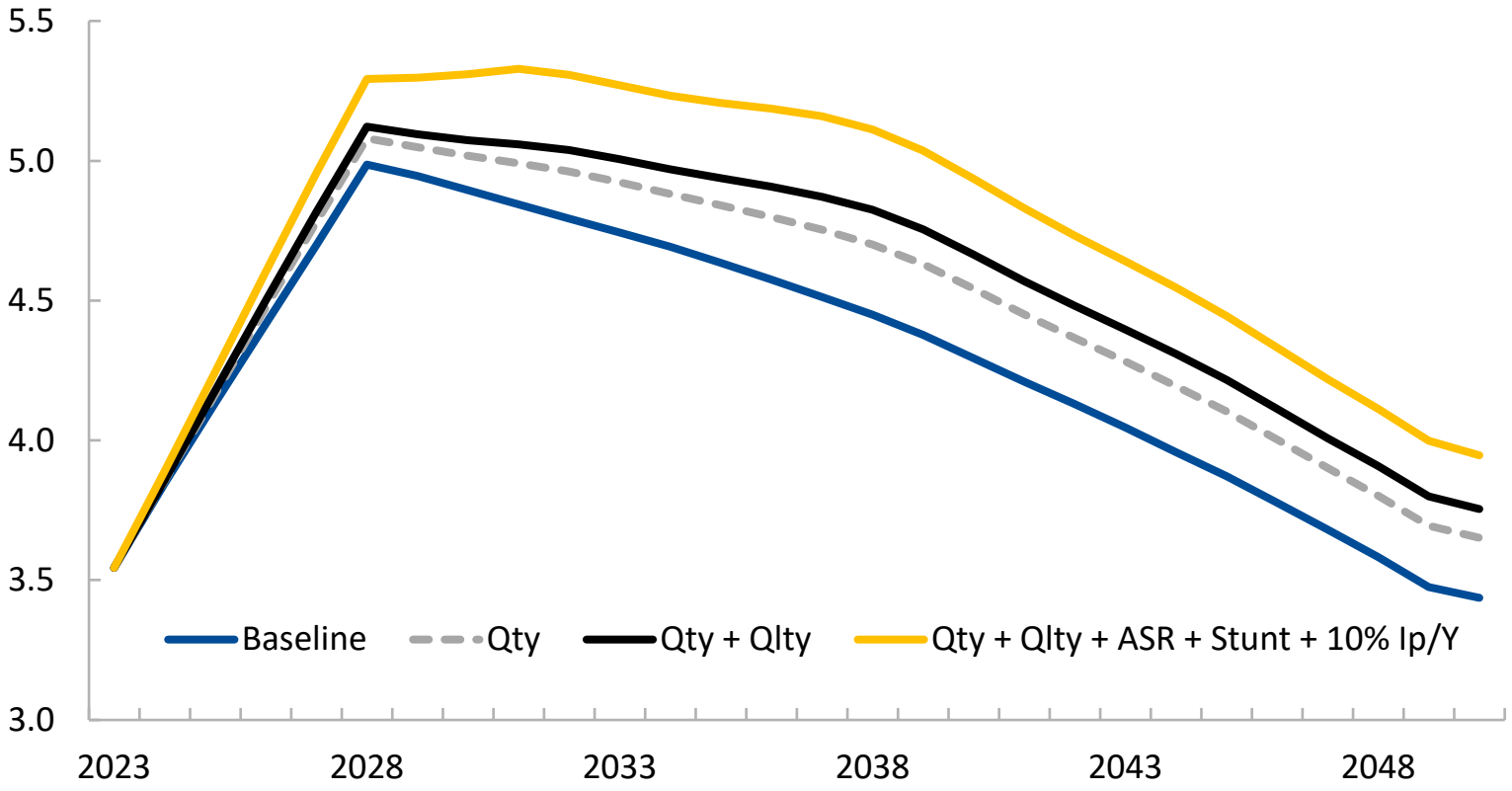
Improving the business climate and economic governance is the cornerstone of the government's strategy to support private-led growth.



Education and health are the new priorities. Modelling the impact of investing in education and health over the long run,shows that each improvement in education and health indicators yields positive growth returns.

Zambia's growth dividend from investing in education and health

Zambia: Headline GDP Growth
(In Percent)



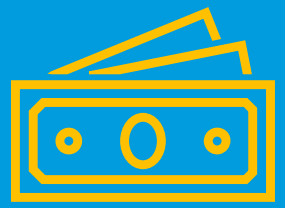
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Boosting sustainable growth



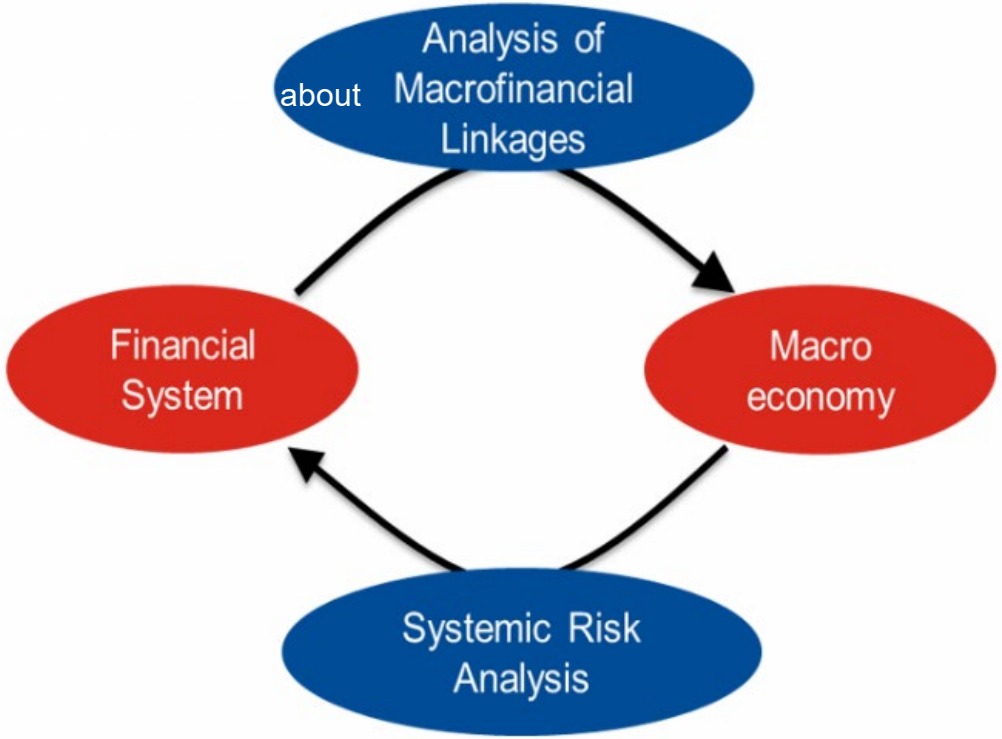
Macro-financial linkages and financial stability



Boosting productivity and climate resilience in agriculture

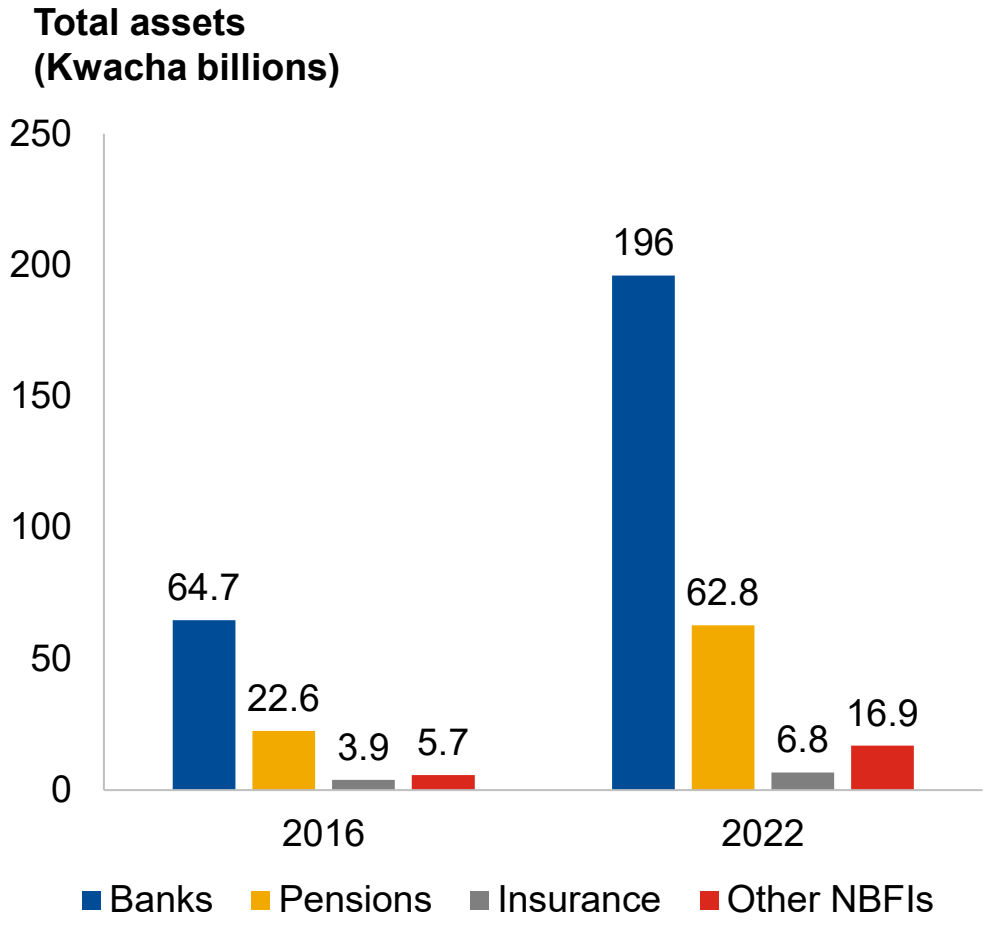
Elements of macro-financial analysis

- The overarching goal of the Zambian authorities is to generate higher, better quality, and more inclusive and sustainable growth.
- The second SIP identifies key macro-financial linkages in Zambia and examines the relationship between financial conditions and the macroeconomic outlook.
- Macro-financial analysis is an integral part of economic analysis in the context of Article IV consultations, both in the baseline projections and the assessment of risks.
- These two dimensions of macro-financial surveillance need to be evaluated jointly, as there is a dynamic feedback loop that links the financial system and the macroeconomy.



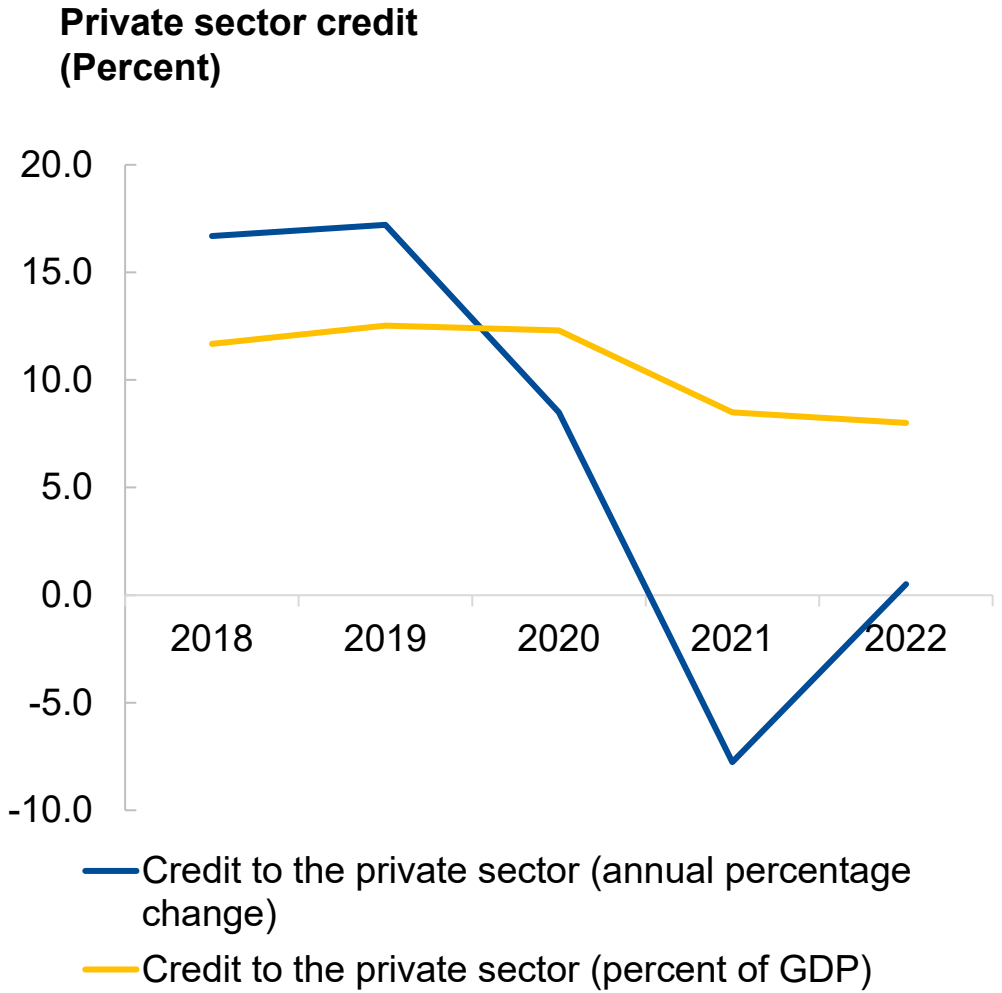
Structure of Zambia's financial sector

- Zambia's financial system is relatively small, with banks playing a leading role.
- At end-2022, the banking sector comprised of seventeen commercial banks dominated by five banks, which collectively account for 65 percent of the total sector assets and deposits.
- Over the last few years, the financial sector has experienced rapid growth.
- Total assets of the sector tripled in nominal size between 2016 and 2022, led by robust growth in direct and indirect lending to government and underpinned by the sharp rise in deposits.



Credit is concentrated in a handful of strategic sectors

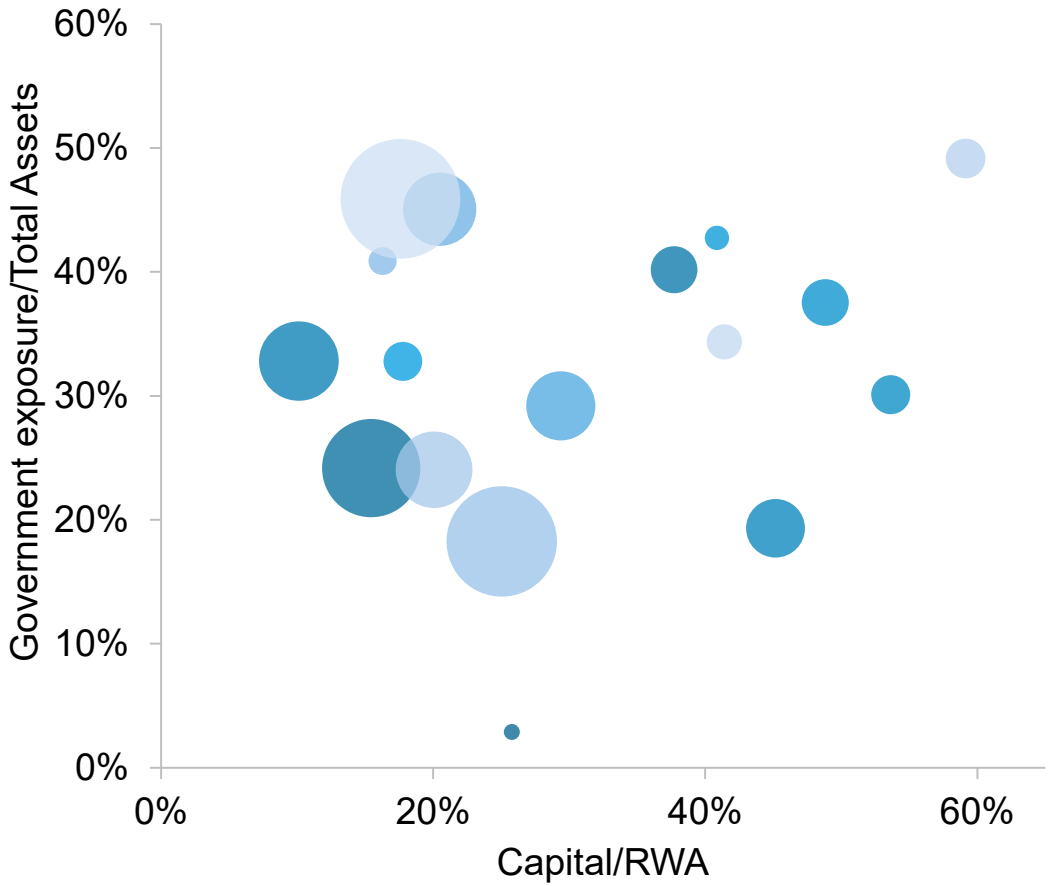
- Banking credit to the private sector has been decreasing as a share of GDP.
- This reflects the preference of the banking sector to invest in low-risk, high-earning investments in government securities at the expense of intermediation of the private sector.
- This has allowed the banking sector to de-leverage and remain highly profitable and capitalized but has amplified its balance sheet exposure to the sovereign.



Systemic risks and financial sector resilience

- The banking sector continues to show resilience to the effects of global monetary tightening and spillovers from Russia's war in Ukraine, aided by accommodating COVID-era prudential relief measures.
- The banking sector maintains seemingly ample liquidity buffers.
- Concentration risk, particularly the relatively high and increasing exposure to the sovereign, is a key risk for the banking sector.
- The authorities ongoing efforts to strengthen the banking sector are critical to both safeguarding financial stability and supporting growth.

Banks exposure to Government, 2022 (Percent)



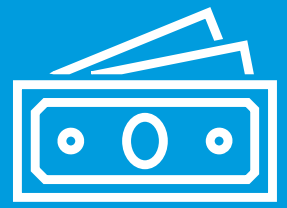
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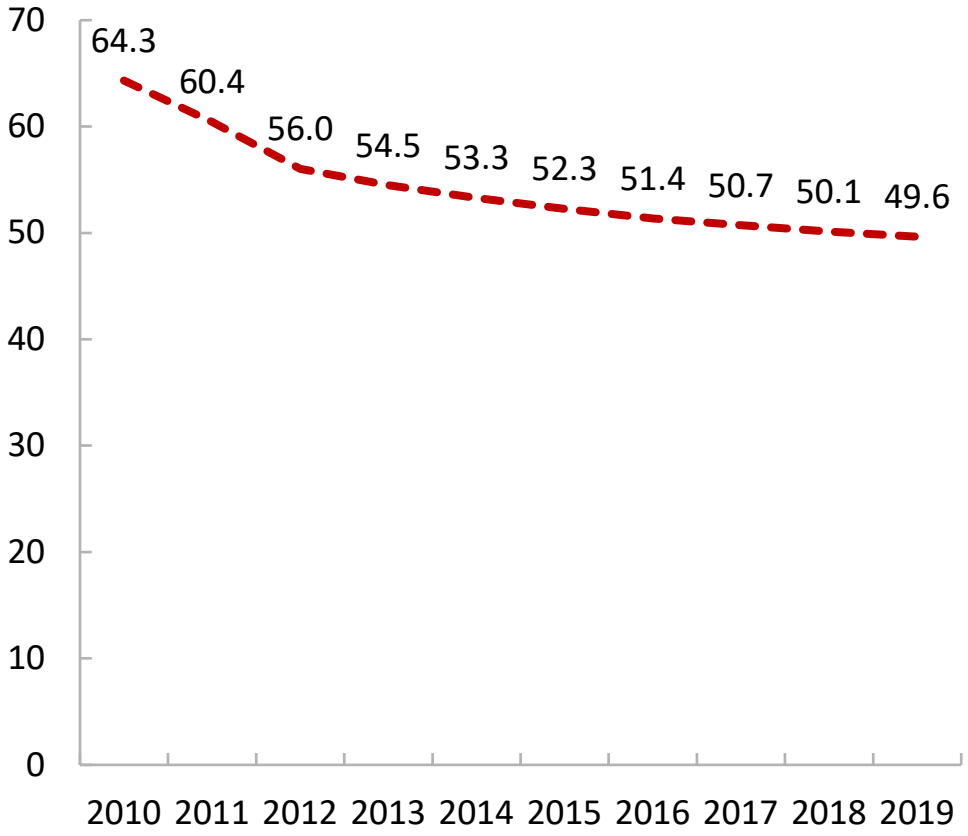
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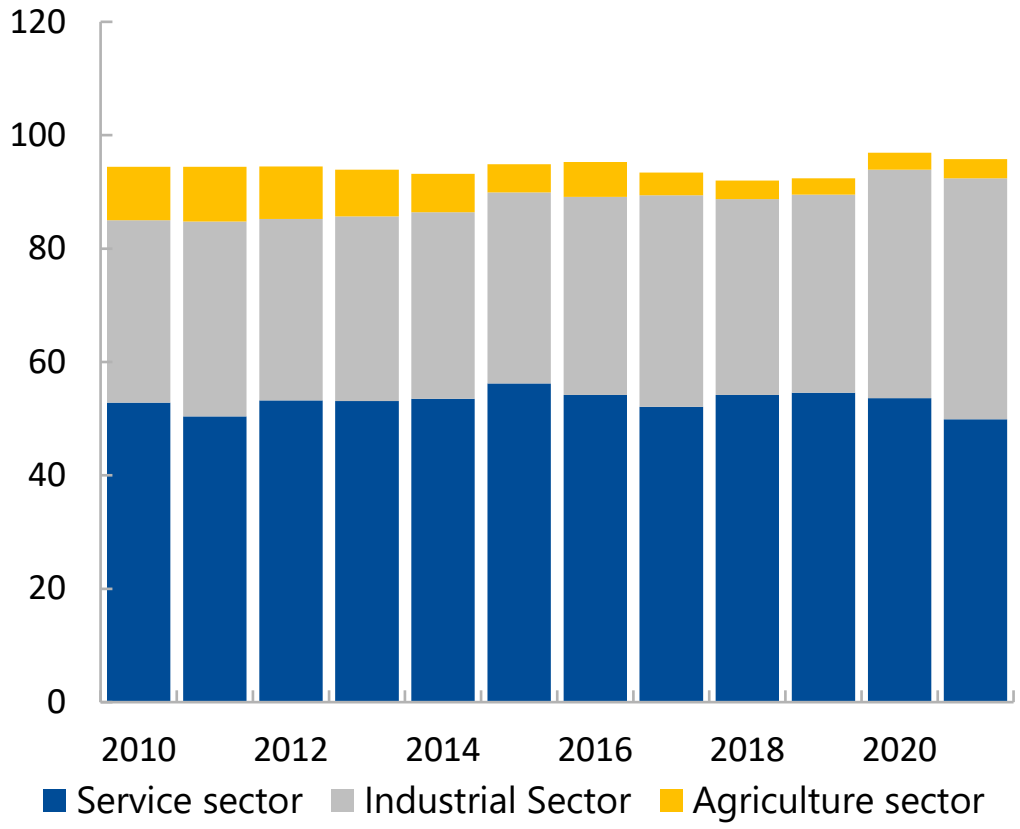
Boosting productivity and climate resilience in agriculture

Agriculture is a critical sector in the Zambian economy for providing jobs, growth, and livelihoods

Employment in Agriculture Sector
(% of total employment)

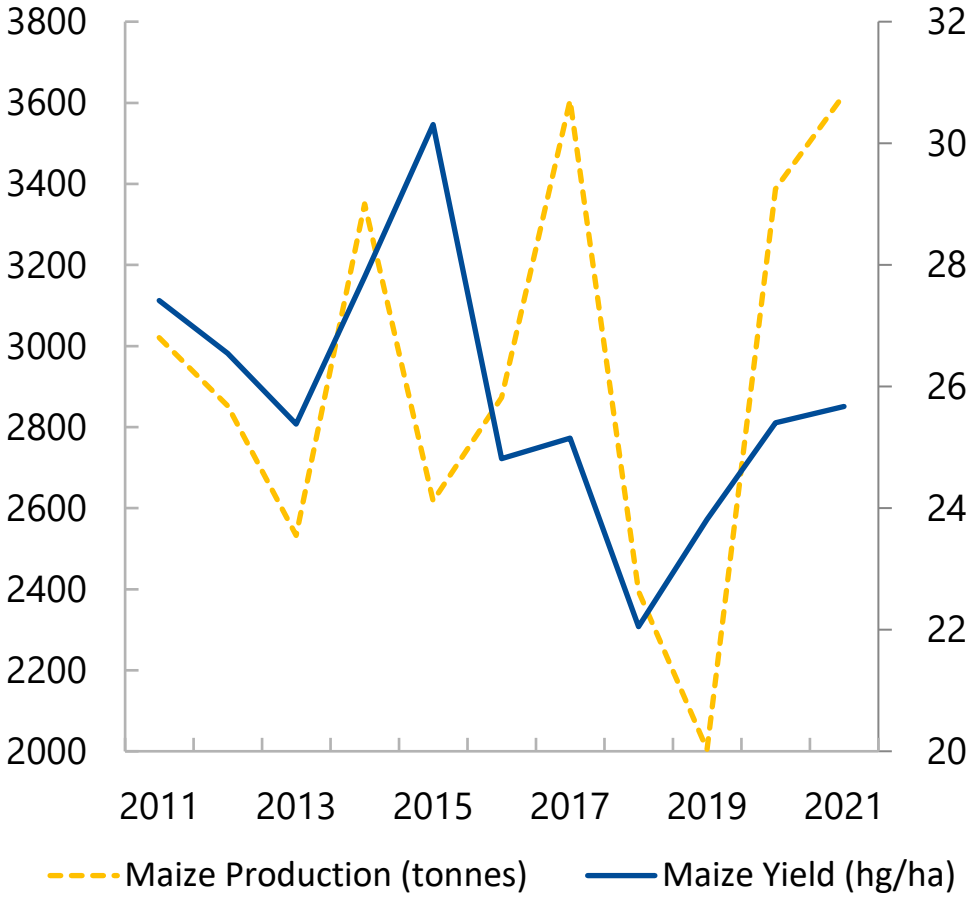


Sector Share of GDP
(Percent)

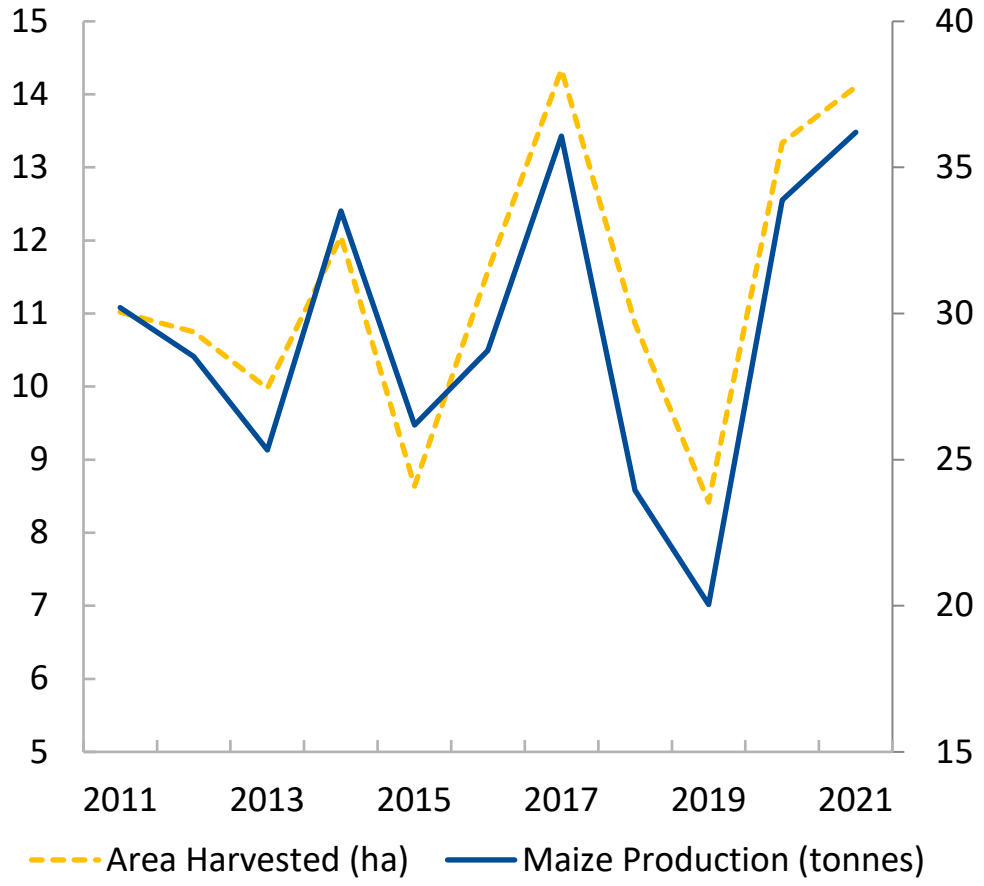


Constraints in the agriculture sector

Maize Production and Yield
(Thousand)



Maize Production vs Area Harvested
(100 Thousand)



Agriculture Policy Reforms

- The key constraints in the agriculture sector include climate change, policy instability, and inadequate policy implementation.
- The Comprehensive Agriculture Support Program aims to raise productivity, attain climate resilience, and increase output for regional export markets.
- FISP has been associated with several challenges and has been very costly. The e-voucher is more efficient and offer more flexibility.
- Augmenting climate smart agriculture will boost agriculture productivity and enhance climate resilience.
- To fully utilize benefits of reforms, the authorities would need to ensure that there are accompanying reforms in the agriculture product market via the Food Reserve Agency.

Thank you